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Investor Presentation | Asia Pacific

Fed Policy Stance: Implications for China

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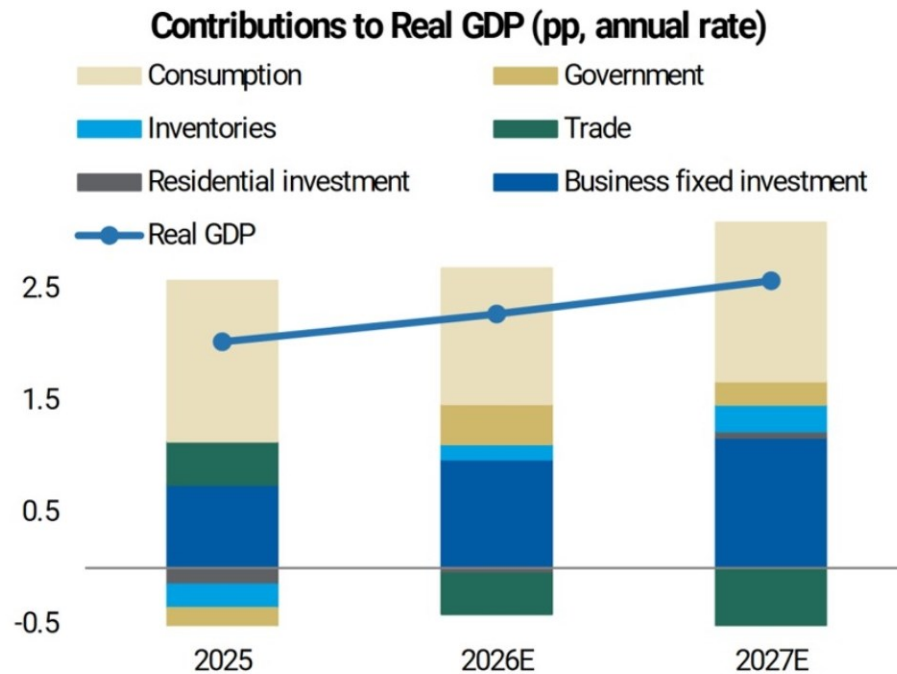


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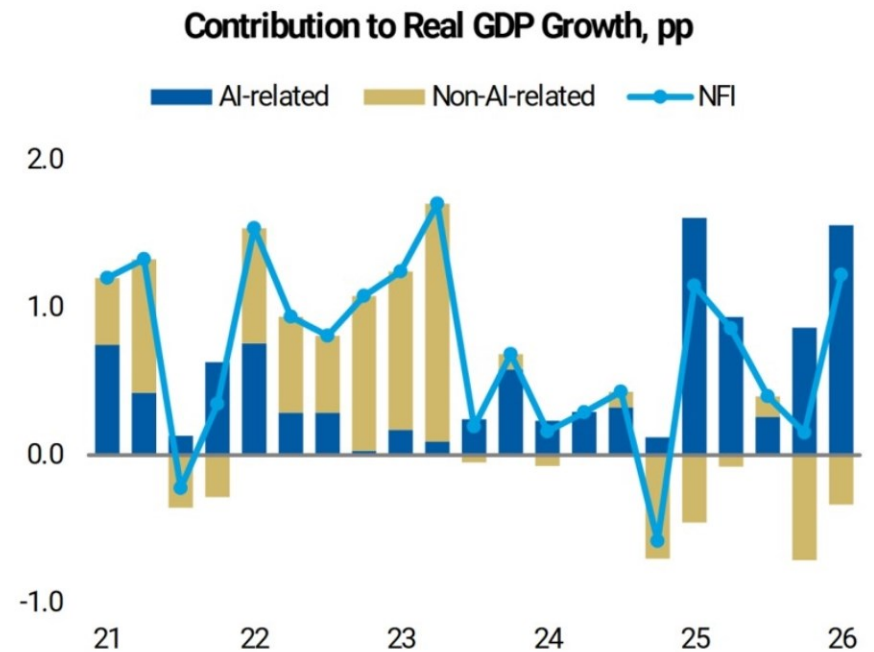
US Economy

2026-27 Growth Outlook: Capex Over Consumption

We expect real GDP growth to step up over 2026E-27E...



...led by AI-related spending

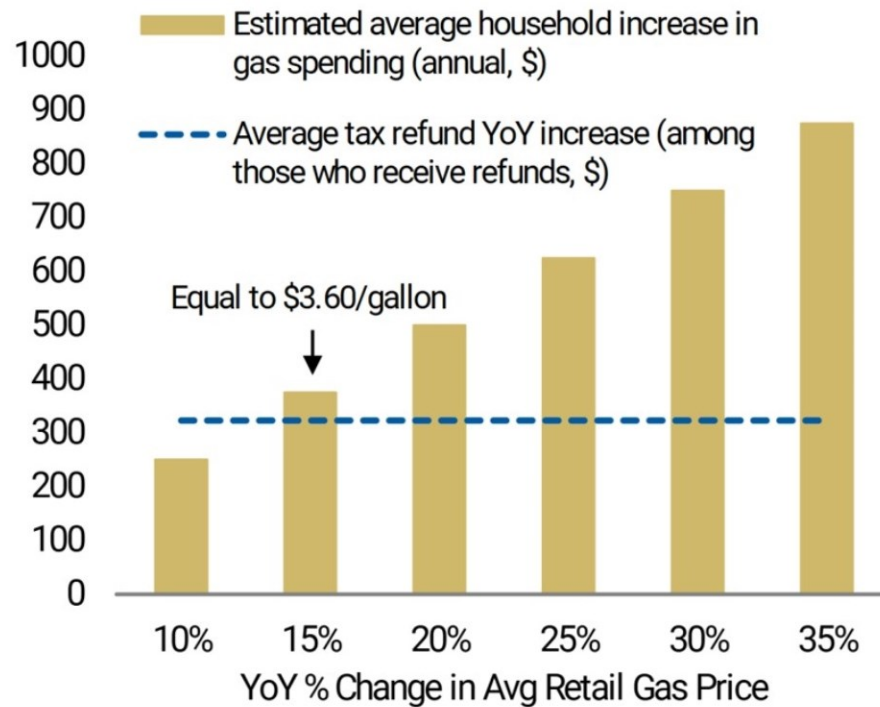


Source: BEA, Morgan Stanley Research estimates

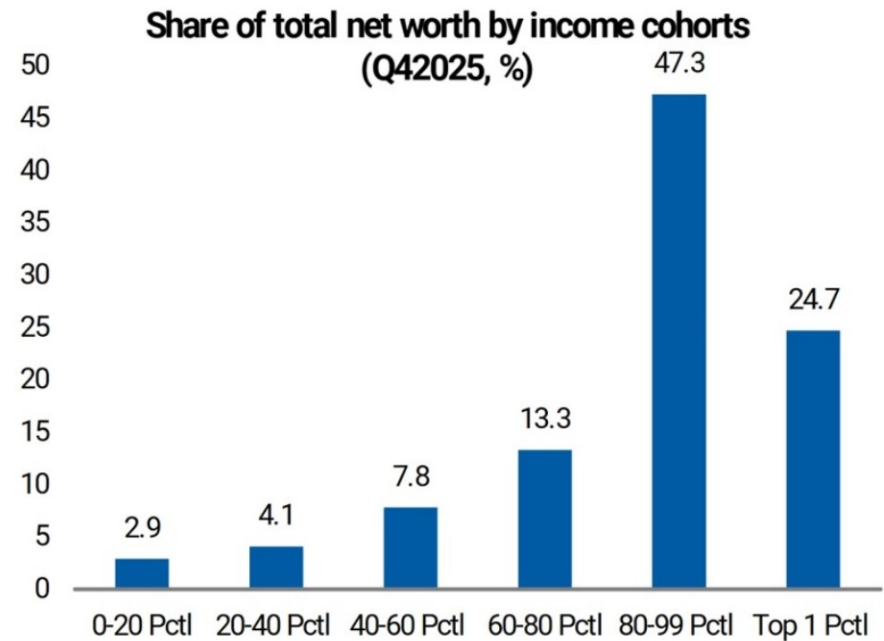
US Economy

Consumption: Energy Headwind Neutralizes Fiscal Stimulus

We estimate an increase of 15% in gas prices this year would more than offset the average tax refund increase



Wealth effects for upper income households: The top income cohort holds more than 70% of all net worth

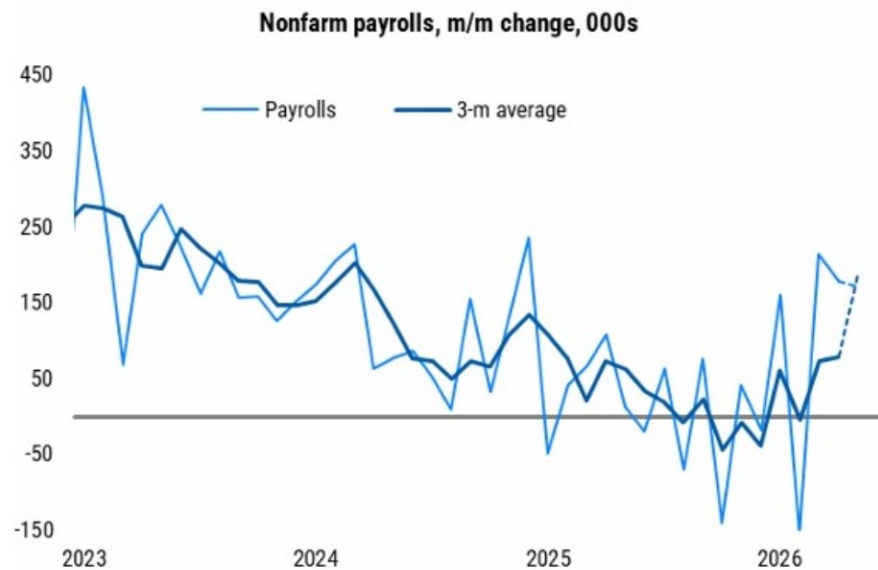


Source: BLS, IRS, Federal Reserve Board, Haver Analytics, Morgan Stanley Research

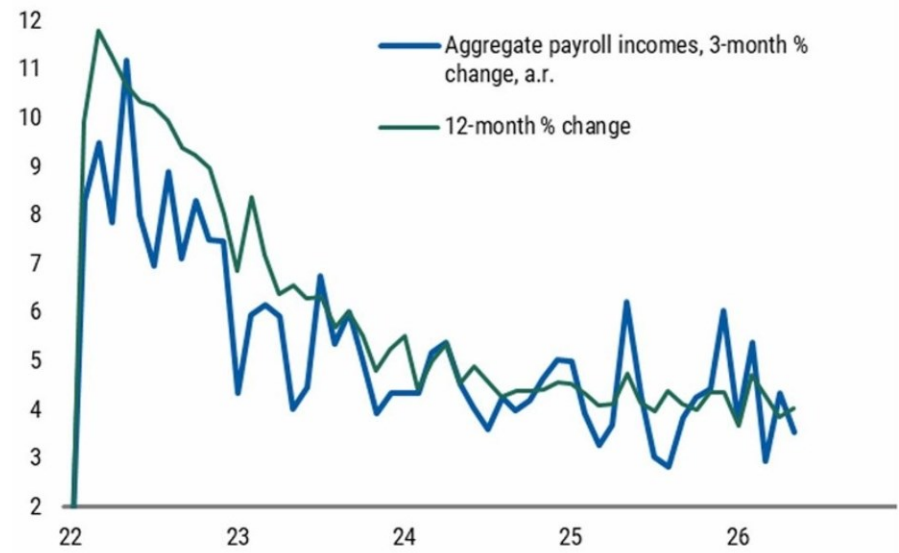
US Economy

Labor Market: Strong Payrolls, No Sign Of AI & Energy Drag (Yet?)

The increase in nonfarm payrolls should reduce FOMC's concerns about downside risks to the labor market



Payroll income growth remains faster than last summer

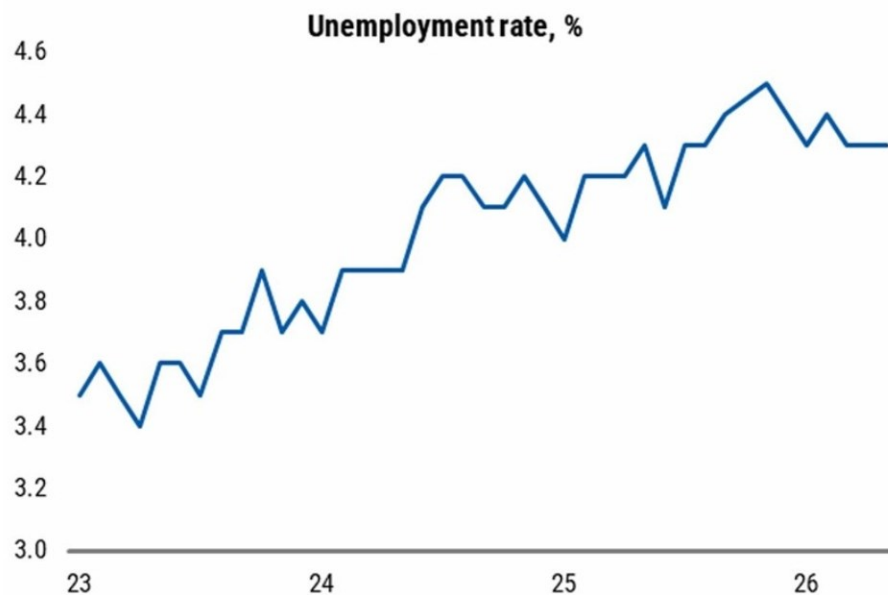


Source: BLS, Morgan Stanley Research

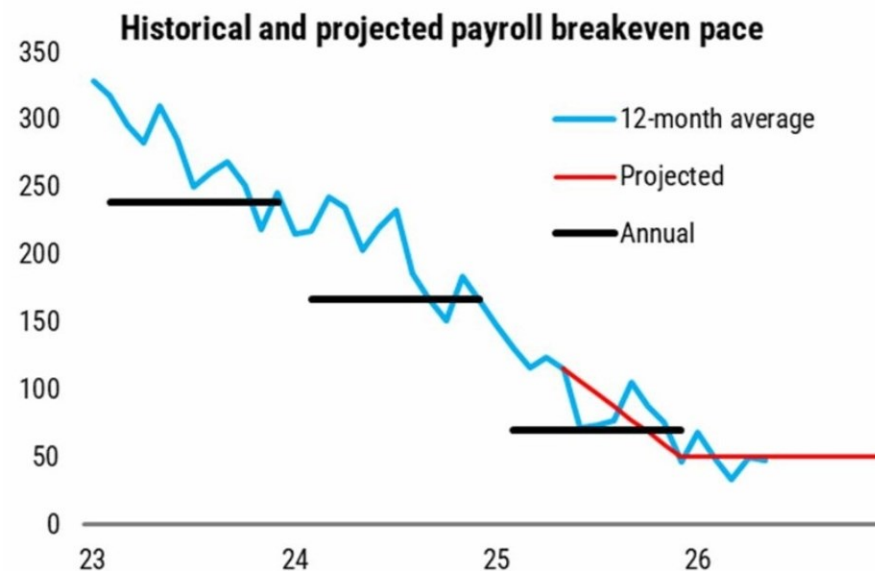
US Economy

Will the Unemployment Rate Come Down?

The unemployment rate remains at 4.3%, but continued ~100k NFP prints will likely push it lower



Our estimate of the breakeven pace of NFP is currently at 50k

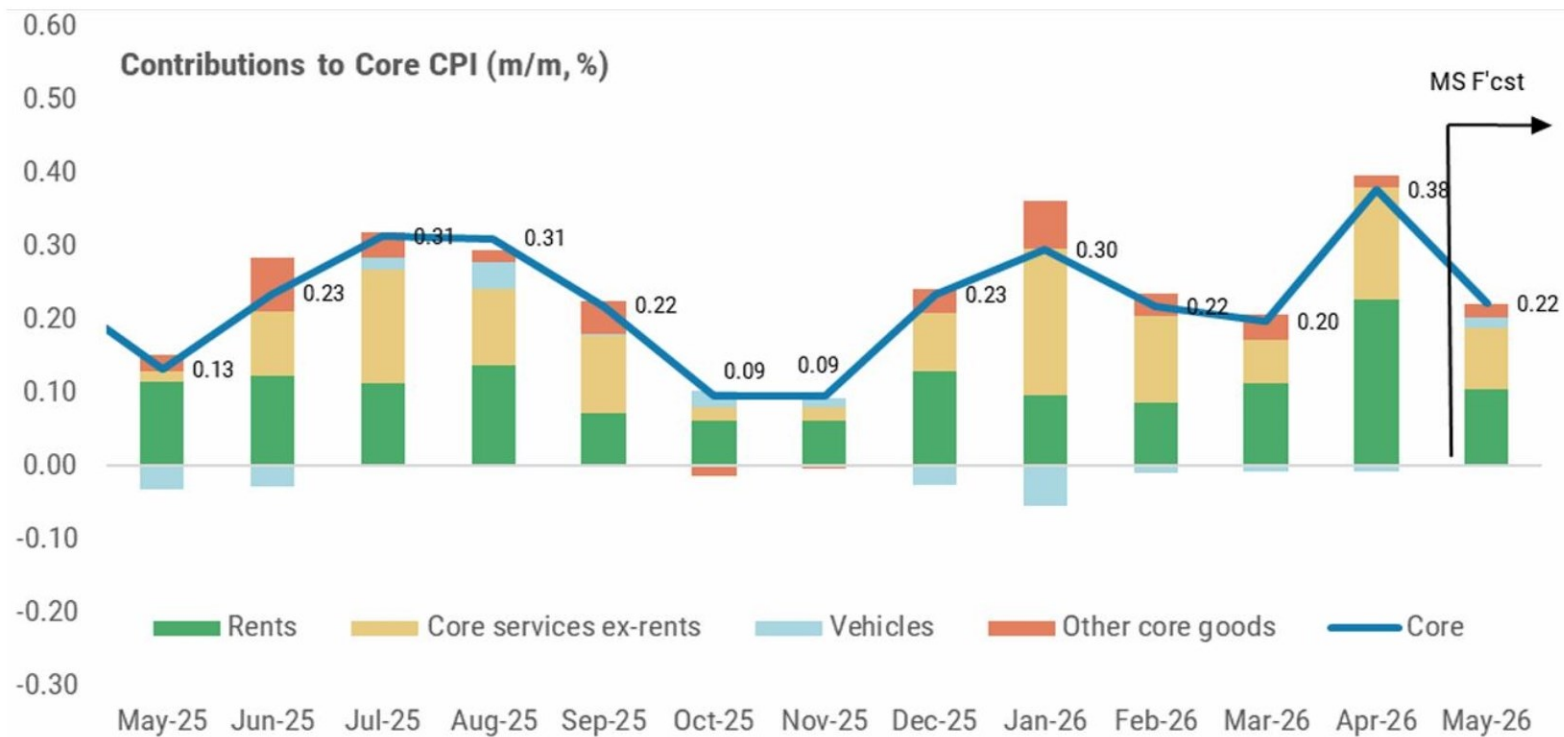


Source: BLS, Morgan Stanley Research estimates

US Economy

CPI: Core Decelerates, Headline Remains High

Core decelerates on softer services. Goods inflation remains positive, but tariff effect continues to fade

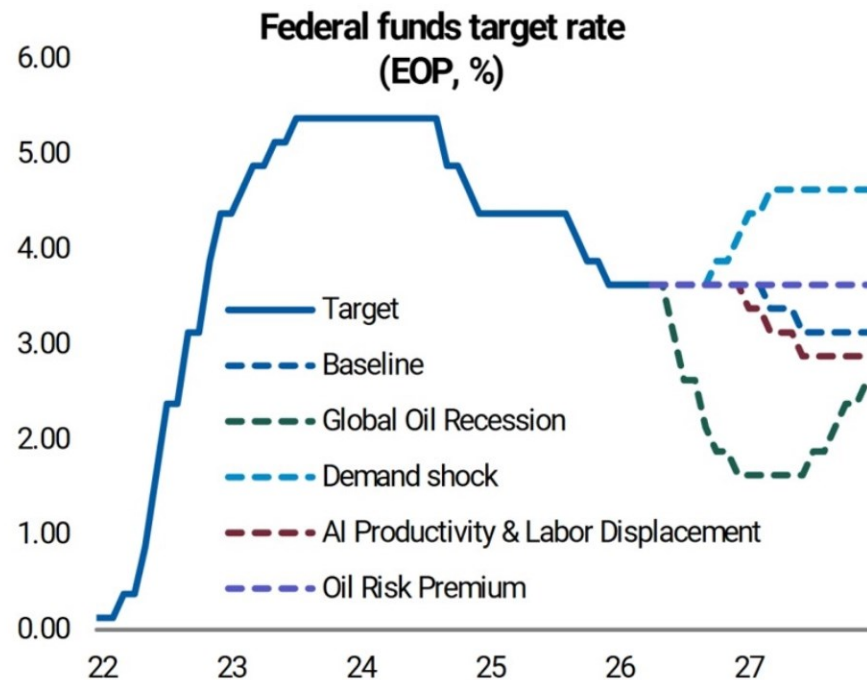


Source: BLS, Morgan Stanley Research estimates

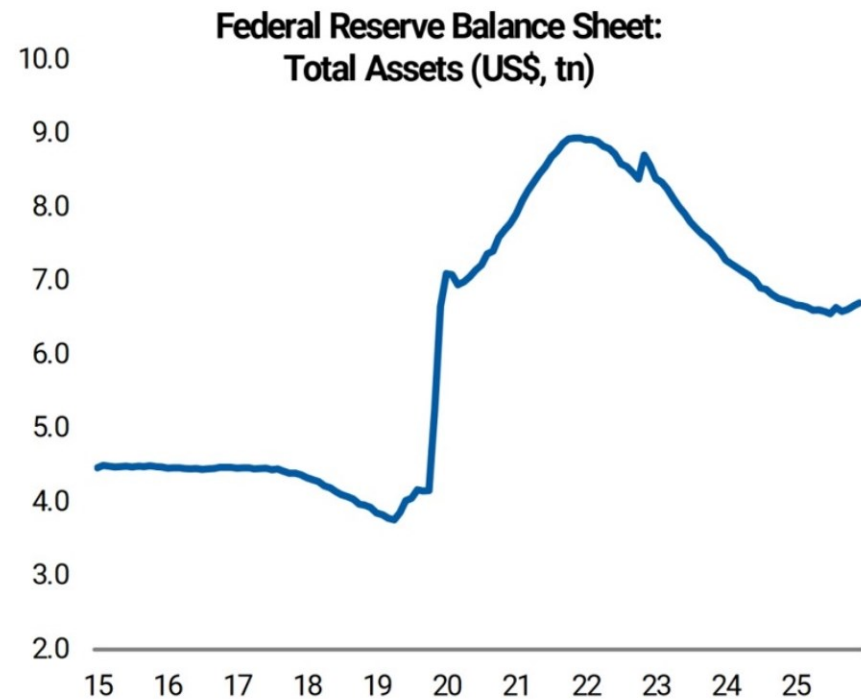
US Economy

Fed Policy Outlook

Inflation has to behave for the fed to cut



Shrinking the balance sheet is possible, but it will only occur slowly and requires a change in regulation



Source: Federal Reserve, Haver Analytics, Morgan Stanley Research estimates

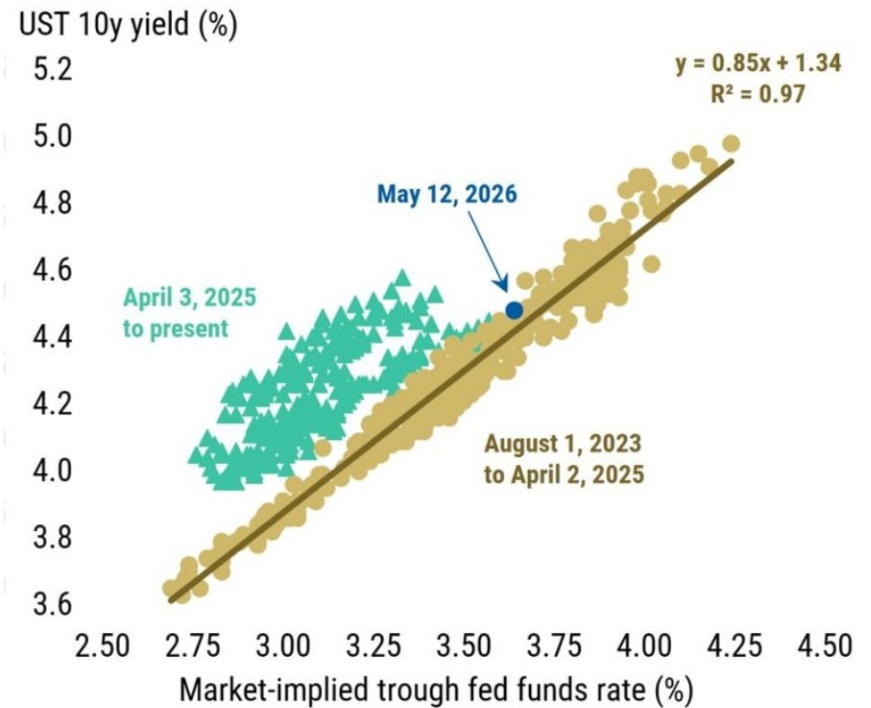
US Economy

Treasuries to Cheapen First, then Outperform Forwards as Oil Tails Fade

Morgan Stanley US Treasury yield forecasts: probability-weighted baseline

Quarter	UST 2y (%)	UST 5y (%)	UST 10y (%)	UST 30y (%)
12-May-26	4.00	4.13	4.43	5.03
4Q25	3.48	3.73	4.12	4.85
1Q26	3.82	3.95	4.28	4.90
2Q26e	4.05	4.15	4.45	5.05
3Q26e	3.80	4.00	4.35	4.90
4Q26e	3.75	3.90	4.25	4.85
1Q27e	3.75	3.90	4.30	4.85
2Q27e	3.60	3.85	4.20	4.75
3Q27e	3.45	3.75	4.15	4.70
4Q27e	3.45	3.75	4.15	4.75

Market-implied trough fed funds rate vs. 10Y US Treasury yield



Source: Federal Reserve, Bloomberg, Morgan Stanley Research estimates

China's Monetary Policy Framework



Source: Morgan Stanley Research.

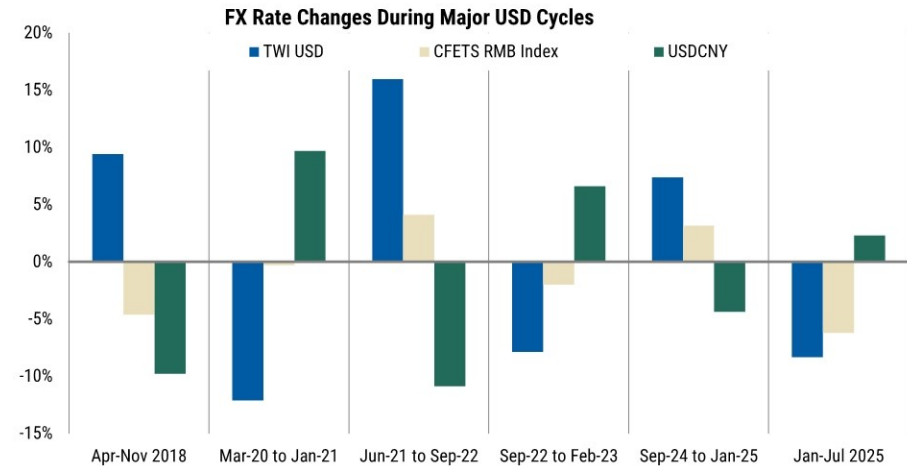
RMB

Modest Appreciation in RMB Basket, USDCNY Remains A USD Story

Modest CFETS RMB upside, USDCNY a function of USD moves



How PBoC managed RMB moves in the past

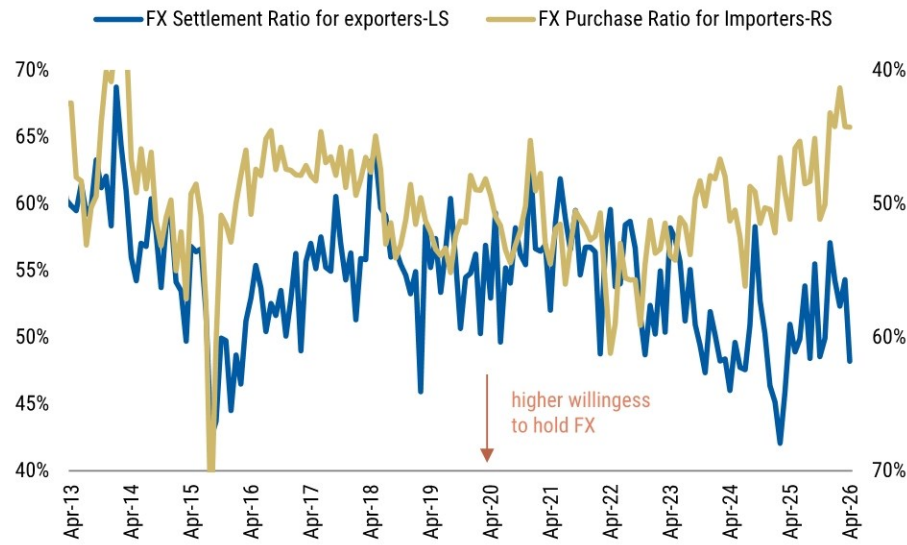


Source: Bloomberg, CEIC, Morgan Stanley Research estimates.

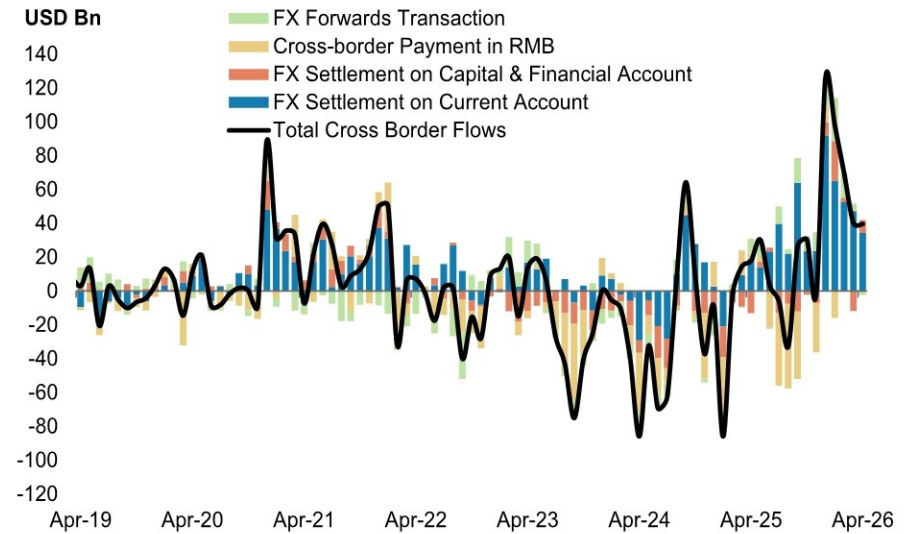
RMB

China Tightens Outbound Investment Controls to Regulate Flows...

The regulation is not about acute capital flight pressure:
RMB depreciation expectations have eased actually



Our measure of monthly capital flows - more related to FX
market equilibrium - have turned from outflows to inflows



Source: CEIC, Morgan Stanley Research

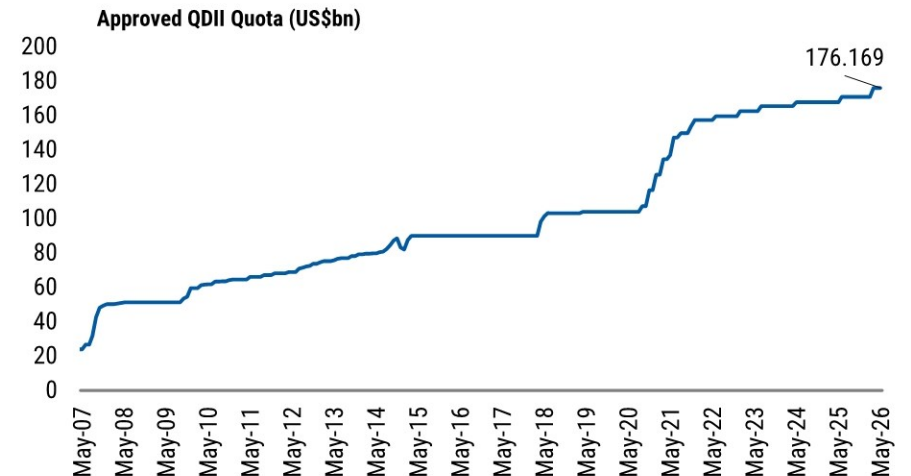
RMB

...Not to Shut Down Overseas Investment Channels

Mainland residents still have several legal routes to gain offshore securities exposure...

...albeit with various limitations such as insufficient quotas, product eligibility and regional restrictions etc.

CHANNELS FOR OFFSHORE SECURITIES EXPOSURE

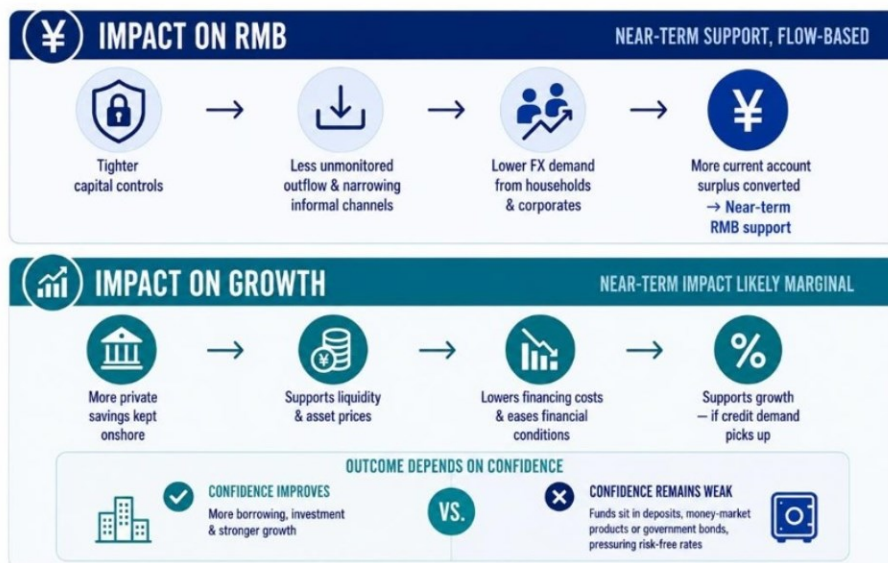


Source: CEIC, Morgan Stanley Research

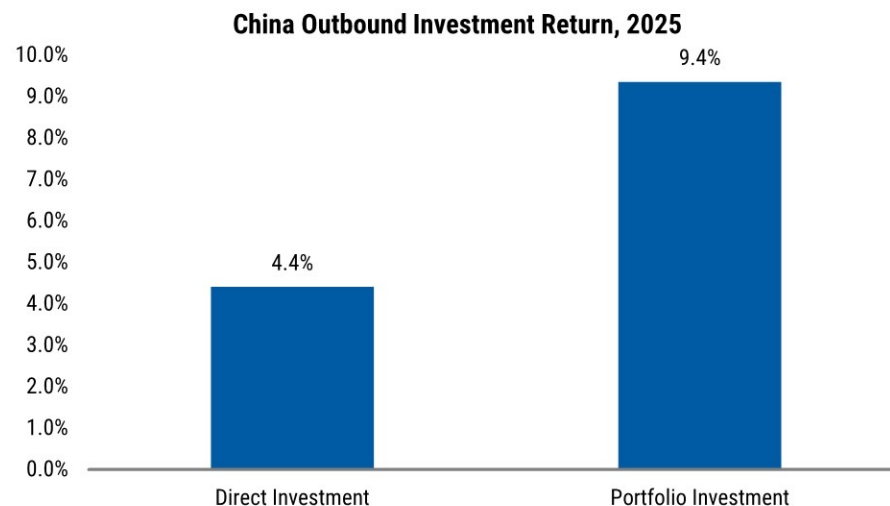
RMB

Implications: Near-term Support to RMB

Regulatory impact on RMB and growth



Tighter controls could reduce risk-adjusted return opportunities for domestic portfolio investors



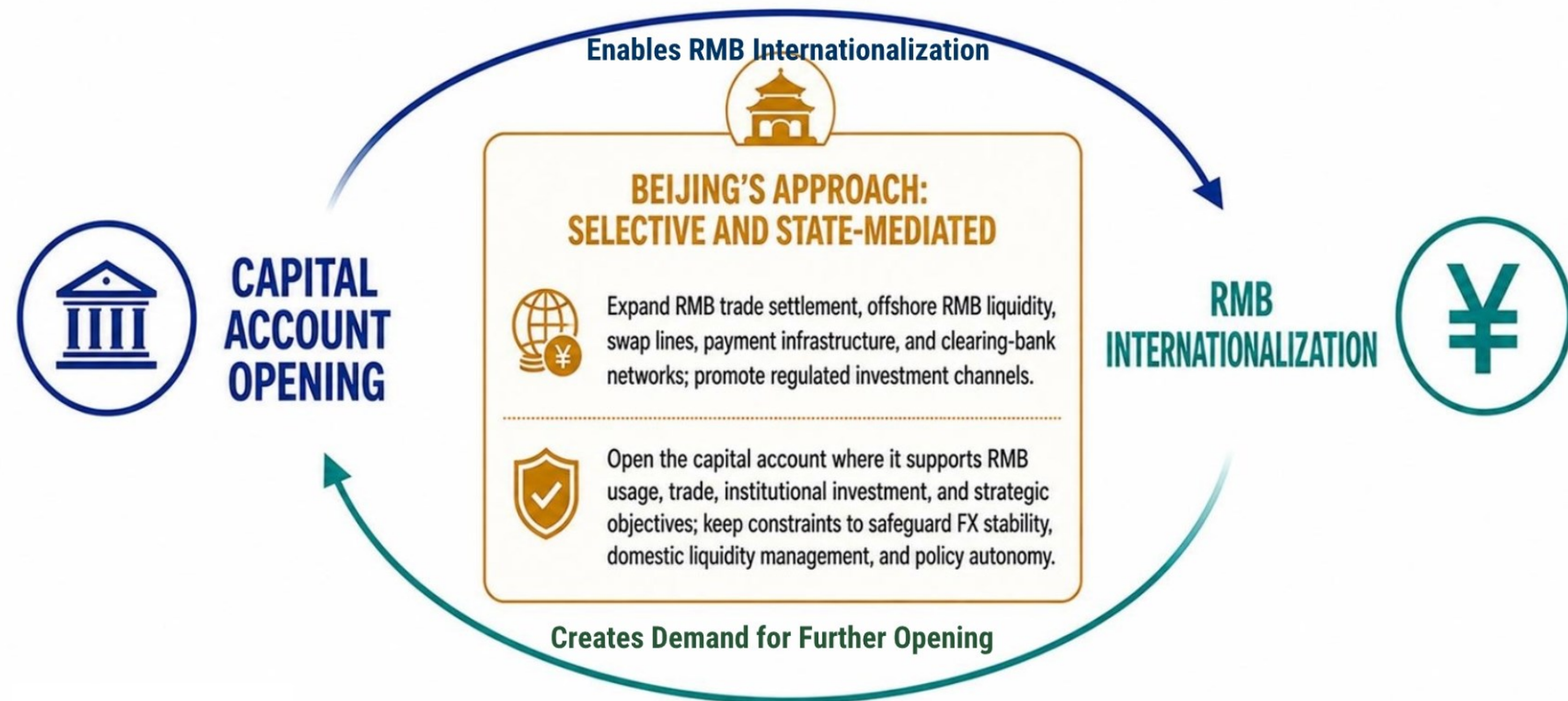
Source: CEIC, Morgan Stanley Research

RMB

China Will Likely Continue with Its Prevailing Capital Account Opening Approach

Capital-Account Opening and RMB Internationalization: A Managed Symbiosis

Mutually Reinforcing. Selectively Opened. Strategically Balanced.



Source: CEIC, Morgan Stanley Research

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